

SUMMARY OF PART ONE

Congratulations! We have now completed Part One of this book. We introduced the basics of behavioral finance, focusing on the aspects most relevant to individual wealth management. In Chapter 1, we reviewed some of the most important academic scholarship in modern behavioral finance. We also distinguished between micro- and macro-level applications, reviewed the differences characterizing standard versus behavioralist camps, and discussed how incorporating insights from behavioral finance can enhance the private-client advisory relationship.

In Chapter 2, we traced the emergence of the modern behavioral finance discipline, beginning with its roots in the premodern era. We started with a review of the work by Adam Smith and continued our way forward in time to cover *Homo economicus* and the dawn of the twentieth century. More influences on behavioral finance, which we also examined, included studies in cognitive psychology and decision making under uncertainty. Here, we focused often on the contributions of Kahneman and Tversky, and of Kahneman and Riepe, as well as on psychographic modeling. We also looked at new developments in the practical application of behavioral finance micro.

This chapter dealt with incorporating investor behavior into the asset allocation process. We discussed some of the limitations of risk tolerance questionnaires, introduced the concept of best practical allocation, and looked at methodology for diagnosing behavioral biases in clients. Of critical importance was our discussion of how detecting certain types of biases in particular types of clients might impact asset allocation decisions. The quantitative guidelines laid out for adjusting portfolio structure comprised another key element of this chapter. We are now ready to move on to Part Two, which investigates specific investor biases as well as their implications in practice.